

**APARTMENT:
SHARES:**

**CRESTWOOD APARTMENT OWNERS CORP.
124-16 84TH ROAD
KEW GARDENS, NEW YORK**

Lessor,

TO

Lessee,

PROPRIETARY LEASE

Prepared by:

**BLUTRICH, FALCONE & MILLER
Two Park Avenue
New York, New York 10016**

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PROPRIETARY LEASE

PROPRIETARY LEASE, made as of _____, 19____, by and between Crestwood Apartment Owners Corp., a New York corporation, having an office at 124-16 84th Road, Kew Gardens, New York, hereinafter called the Lessor, and _____ hereinafter called the Lessee.

WHEREAS, the Lessor is the owner of the land and building erected thereon in the Borough of Queens, New York City, known as and by the street number 124-16 84th Road, Kew Gardens, New York, (the "Building"); and

WHEREAS, the Lessee is the owner of _____ shares of the Lessor, to which this lease is appurtenant and which have been allocated to the apartment designated below; and

DEMISED PREMISES; TERM

NOW, THEREFORE, in consideration of the premises, the Lessor hereby leases to the Lessee, and the Lessee hires from the Lessor, subject to the terms and conditions hereof, Apartment _____ in 124-16 84th Road, Kew Gardens, New York, (hereinafter referred to as the "Apartment") for a term from the date hereof, until May 31, 2050 (unless sooner terminated or renewed as hereinafter provided). As used herein "the apartment" means the rooms in the building as partitioned on the date of the execution of this lease designated by the above-stated apartment number, together with their appurtenances and fixtures and any closets, terraces, balconies, roof, or portion thereof outside of said partitioned rooms, which are allocated exclusively to the occupant of the apartment. The apartment is also referred to as the "Demised Premises".

RENT (MAINTENANCE) HOW FIXED

1. (a) The rent (sometimes called maintenance) payable by the Lessee for each year, or portion of a year, during the term shall equal that proportion of the Lessor's cash requirements for such year, or portion of a year, which the number of shares of the Lessor allocated to the Demised Premises bears to the total number of shares of the Lessor issued and outstanding on the date of the determination of such cash requirements. Such maintenance shall be payable in equal monthly installments in advance on the first day of each month, unless the Board of Directors of the Lessor (hereinafter called "Directors") at the time of its determination of the cash requirements shall otherwise direct. The Lessee shall also pay such additional rent as may be provided for herein when due.

Accompanying Shares to be Specified in Proprietary Lease

(b) In every proprietary lease heretofore executed by the Lessor there has been specified, and in every proprietary lease hereafter executed by Lessor there will be specified, the number of shares of the Lessor issued to a lessee simultaneously therewith.

Cash Requirement Defined

(c) "Cash requirements" whenever used herein shall mean the estimated amount in cash which the Directors shall from time to time in its judgment determine to be necessary or proper for (1) the operation, maintenance, care, alteration and improvement of the corporate property during the year or portion of the year for which such determination is made; (2) the creation of such Contingency Fund as it may deem proper, and (3) the payment of any obligations, liabilities or expenses incurred or to be incurred, after giving consideration to (i) income expected to be received during such period (other than rent from proprietary lessees), and (ii) cash on hand which the Board of Directors in its discretion may choose to apply. The Board of Directors may from time to time modify its prior determination and increase or diminish the amount previously determined as cash requirements of the corporation for a year or portion thereof. No determination of cash requirements shall have any retroactive effect on the amount of the rent payable by the lessee for any period prior to the date of such determination. All determinations of cash requirements shall be conclusive as to all lessees.

Until Unsold Shares (as defined in Paragraph 38 hereof) constitute less than twenty-five percent (25%) of the shares of Lessor, or the fifth anniversary of the consummation of the Plan, whichever is sooner, the Board of Directors will not, without the consent of the holders of Unsold Shares (as defined in Paragraph 38 hereof), unless required by law, engage any employees in addition to those provided for in Schedule B set forth in the Offering Plan; provide equipment or services in excess of those provided for in Schedule B; increase the annual management fee, building insurance or fidelity bond and accounting fees; refinance or increase the Mortgage; prepay any interest or amortization on said Mortgage; make a new mortgage; increase the Contingency Fund set forth in Schedule B or establish or accrue a reserve or operating fund, however designated, or increase the Reserve Fund for any purpose whatsoever other than for capital repairs of expenditures required to comply with applicable laws or regulations; make any assessment for capital improvements, whether so designated on the books of the Lessor or not; or spend any sums, for any purposes whatsoever, other than those listed in Schedule B or required to comply with applicable laws or regulations. Notwithstanding anything to the contrary set forth above, the Directors elected by holders of Unsold Shares may not exercise veto effect, and if in any such case the record holders of at least two-thirds of the issued shares, at a shareholders meeting duly called for that purpose held within 120 days after the

determination by the Directors, shall vote not to repair, restore or rebuild, then upon giving of notice pursuant to Paragraph 31 hereof, this lease and all other proprietary leases and all right, title and interest of the parties thereunder and the tenancies thereby created, shall thereupon wholly cease and expire and rent shall be paid to the date of such destruction or damage. The Lessee hereby waives any and all rights of Lessee to surrender premises of the damage and release of obligation to pay rent under Section 227 of the Real Property Law and in no event shall the Lessee have any option or right to terminate this lease.

Authority Limited to Board of Directors

(d) Whenever in this paragraph or any other paragraph of this lease a power or privilege is given to the Directors, the same may be exercised only by the Directors, and in no event may any such power or privilege be exercised by a creditor, receiver or trustee.

Issuance of Additional Shares

(e) If the Lessor shall hereafter issue shares (whether now or hereafter authorized) in addition to those issued on the date of the execution of this lease, the holders of the shares hereafter issued shall be obligated to pay rent at the same rate as the other proprietary Lessees from and after the date of issuance. If any such shares be issued on a date other than the first or last day of the month, the rent for the month in which issued shall be apportioned. The cash requirements as last determined shall, upon the issuance of such shares, be deemed increased by an amount equal to such rent.

Paid in Surplus

(f) The Directors may, from time-to-time as may be proper, determine how much, if any, of the maintenance and other receipts received (but not more than such amount as represents payments on account of principal of mortgages on the property and other capital expenditures) shall be credited on the corporate accounts to "Paid-in-Surplus". Unless the Directors shall determine otherwise, the amount of payments on account of principal of any mortgages shall be credited to Paid-in-Surplus.

Failure to Fix Cash Requirements

(g) The failure of the Directors to determine the Lessor's cash requirements for any year or portion thereof shall not be deemed a waiver or modification in any respect of the covenants and provisions hereof, or a release of the Lessee from the obligation to pay the maintenance or any installment thereof, but the maintenance computed on the basis of the cash requirements as last determined for any year or portion thereof, shall thereafter continue to be the maintenance until a new determination of cash requirements shall be made.

LESSOR'S REPAIRS

2. The Lessor shall, at its expense, keep in good repair all of the building including all of the apartments, the sidewalks and courts surrounding the same, and its equipment and apparatus except those portions, the maintenance and repair of which, are expressly stated to be the responsibility of the Lessee pursuant to Paragraph 18 hereof.

SERVICES BY LESSOR

3. The Lessor shall maintain and manage the building as a first-class apartment building, and shall keep the elevators and the public halls, cellars and stairways clean and properly lighted and heated, and shall provide the number of attendants requisite, in the judgment of the Directors, for the proper care and service of the building, and shall provide the apartments with a proper and sufficient supply of hot and cold water and heat, and if there be central air-conditioning equipment supplied by the Lessor, air-conditioning when deemed appropriate by the Directors. The covenants by the Lessor herein contained are subject, however, to the discretionary power of the Directors to determine from time to time what services and what attendants shall be proper and the manner of maintaining and operating the building, and also what existing services shall be increased, reduced, changed, modified or terminated. The Lessor shall also provide all other services required by law.

DAMAGE TO APARTMENT OR BUILDING

4. (a) If the apartment or the means of access thereto or the building shall be damaged by fire or other cause covered by multiple policies commonly carried by corporations owning "cooperative apartment buildings" in New York State (any other damage to be repaired by the Lessor or the Lessee pursuant to Paragraph 2 and 18, as the case may be), the Lessor shall, at its own cost and expense, with reasonable dispatch after receipt of notice of said damage, repair or replace or cause to be repaired or replaced, with materials of a kind and quality then customary in buildings of the type of the building, the apartment, and the means of access thereto, including the walls, floors, ceilings, pipes, wiring, and conduits in the apartment.

Anything in this Paragraph or Paragraph 2, to the contrary notwithstanding, the Lessor shall not be required to repair or replace, or cause to be repaired or replaced, equipment, fixtures, furniture, furnishings or decorations installed by the Lessee or any of his predecessors in title nor shall the Lessor be obligated to permit to repaint or replace wallpaper or other decorations in the apartment or to refinish floors located therein.

Rent Abatement

(b) In case the damage resulting from fire or other cause shall be so extensive as to render the apartment partly or wholly untenable, or if the means of access thereto shall be destroyed, the rent hereunder shall proportionately abate until the apartment shall again be rendered wholly tenable or the means of access restored; but if said damage shall be caused by the act or negligence of the Lessee or the agents, employees, guests or members of the family of the Lessee or any occupant of the apartment, such rental shall abate only to the extent of the rental value insurance, if any, collected by the Lessor with respect to the apartment.

Expiration of Lease Due to Damage

(c) If the Directors shall determine that (i) the building is totally destroyed by fire or other cause, or (ii) the building is so damaged that it cannot be repaired within a reasonable time after the loss shall have been adjusted with the insurance carriers, or (iii) the destruction or damage was caused by hazards which are not covered under the Lessor's insurance policies then in effect, and if in any such case the record holders of at least two-thirds of the issued and outstanding shares, at a shareholders' meeting, duly called for that purpose, held within 120 days after the determination by the Directors, shall vote not to repair, restore or rebuild, then upon the giving of notice pursuant to Paragraph 31 hereof, this Lease and all other proprietary leases and all right, title and interest of the parties thereunder and the tendencies thereby created, shall thereupon wholly cease and expire and rent shall be paid to the date of such destruction or damage. The Lessee hereby waives any and all rights under Section 227 of the Real Property Law and in no event shall the Lessee have any option or right to terminate this Lease except as provided herein.

Waiver of Subrogation

(d) Lessor agrees to use its best efforts to obtain a provision in all insurance policies carried by it waiving the right of subrogation against the Lessee; and, to the extent that any loss or damage is covered by the Lessor by any insurance policies which contain such waiver of subrogation, the Lessor releases the Lessee from any liability with respect to such loss or damage. In the event that the Lessee suffers loss or damage for which Lessor would be liable, and Lessee carries insurance which covers such loss or damage and such insurance policy or policies contain a waiver of subrogation against the Landlord, then in such event Lessee releases Lessor from any liability with respect to such loss or damage.

INSPECTION OF BOOKS OF ACCOUNTS

5. The Lessor shall keep full and correct books of account at its principal office or at such other place as the Directors may

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from time to time determine, and the same shall be open during all reasonable hours to inspection by the Lessee or a representative of the Lessee. The Lessor shall deliver to the Lessee within three (3) months after the end of each fiscal year an annual report of corporate financial affairs, including a balance sheet and a statement of income and expenses, certified by an independent certified public accountant.

CHANGES IN TERMS AND CONDITIONS OF PROPRIETARY LEASES

6. The form and provisions, including the term of all the proprietary leases then in effect and thereafter to be executed, may be changed by the approval of lessees owning at least 66 2/3 percent of the Lessor's shares then issued and outstanding and such changes shall be binding on all lessees even if they did not vote for such changes except that the proportionate share of rent or cash requirements payable by any lessee may not be increased nor may his right to cancel the lease under the conditions set forth in Paragraph 35 be eliminated or impaired without his express consent. Approval by lessees as provided for herein shall be evidenced by written consent or by affirmative vote taken at a meeting called for such purpose.

PENTHOUSE, TERRACES AND BALCONIES

7. If the apartment includes a yard, terrace, balcony, or a portion of the roof adjoining a penthouse, the Lessee shall have and enjoy the exclusive use of the yard, terrace or balcony or that portion of the roof appurtenant to the penthouse, subject to the applicable provisions of this lease and to the use of the yard, terrace, balcony or roof by the Lessor to the extent herein permitted. The Lessee's use thereof shall be subject to such reasonable regulations as may, from time to time, be prescribed by the Directors. The Lessor shall have the right to erect equipment on the roof, including radio and television aerials and antennas, for its use and the use of the lessees in the building and shall have the right to access thereto for such installations and for the repair thereof. The Lessee shall keep the yard, terrace, balcony, or portion of the roof appurtenant to his apartment clean and free from snow, ice, leaves and other debris and shall maintain all screens and drain boxes in good condition. No planting, fences, structures or lattices shall be erected or installed on the yard, terrace, balconies or roof of the building without the prior written approval of the Lessor. No cooking shall be permitted in or on any yards, terraces, balconies or the roof of the building, nor shall the walls thereof be painted by the Lessee without the prior written approval of the Lessor. Any planting or other structures erected by the Lessee or his predecessor in interest may be removed and restored by the Lessor at the expense of the Lessee for the purpose of repairs, upkeep or maintenance of the building.

Where a terrace is located directly above a part of another apartment, there shall be no use on the terrace of bicycles, skates, playground or similar equipment. The Lessee of the apartment to which the terraces are appurtenant shall cover the terrace with "indoor-outdoor" carpeting or "astro-turf", or a similar material, within 10 days after entering into occupancy of the apartment, and he shall maintain the same and replace it when necessary.

ASSIGNMENT OF LESSOR'S RIGHTS AGAINST OCCUPANT

8. (a) If at the date of the commencement of this lease, any third party shall be in possession or have the right to possession of the apartment, then the Lessor hereby assigns to the Lessee all of the Lessor's rights against said third party from and after the date of the commencement of the term hereof, and the Lessee by the execution hereof assumes all of the Lessor's obligations to said third party from said date. The Lessor agrees to cooperate with the Lessee, but at the Lessee's expense, in the enforcement of the Lessee's rights against said third party.

Rights of Non Purchasing Tenants

(b) If, at the date of the commencement of this lease, the apartment is leased to a person who was a tenant of the apartment on the date of the Offering Plan was accepted for filing and did not purchase under the Plan, the Lessee acknowledges and agrees that:

(i) He will not have the right to evict the tenant at any time, for any reason, including, but not limited to, occupancy by a proprietary lessee. The tenant may be evicted, for non-payment of rent, illegal use and occupancy of the apartment, refusal of access to the owner or a similar breach by the Non-Purchasing Tenant of his or her obligations to the landlord;

(ii) The apartment will continue to be subject to the New York State Multiple Dwelling Law (the "MDL"). The Rent Stabilization Law of 1969, as amended ("Rent Stabilization") or the New York City Rent and Rehabilitation Law, as amended (the "RCL"), as appropriate. The tenant may not be subjected to unconscionable increases beyond ordinary rentals for comparable apartments during the period of his occupancy;

(iii) The Lessee will be the landlord of the tenant and will have the responsibilities of any other landlord of a residential apartment. The Lessee agrees to pay all maintenance charges and assessments due to the Lessor even if such amounts exceed the rent received from the tenant. Furthermore, the Lessee will provide to the

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tenant, at the Lessee's sole expense, all services required of the landlord under the tenant's lease, and required by law, including all repairs to the apartment which are not the responsibility of the Lessor under this lease. These services may include, but are not limited to, interior painting and decoration, repairs to interior plumbing and wiring, and replacement of fixtures, appliances, doors, hardware and windows;

(iv) The unapplied portion of the tenant's security deposit, if any, has been assigned to the Lessee, and the Lessee will maintain the security deposit of the tenant in trust in an interest bearing account in accordance with the provisions of New York State General Obligations Law Section 7-103.

(v) The Lessee hereby irrevocably appoints the Managing Agent (or the Apartment Corporation, if there is no Managing Agent) and its successors as his agent to provide to the tenant all services and facilities required by law, and, unless the Lessee is the Sponsor, or a holder of Unsold Shares, or the Lessee will pay the Managing Agent a fee in connection therewith.

(vi) The Lessee (unless the Lessee is the Sponsor, or a holder of Unsold Shares) will deposit with the Managing Agent (or the Apartment Corporation, if there is no Managing Agent) upon the commencement date of this lease an amount equal to two (2) months' maintenance charges to be used as working capital to furnish services required under the tenant's lease and the MDL. Within ten (10) days after the mailing of a notice by the Managing Agent that the deposit has been diminished by expenditures for the performance of such services, the Lessee will replenish the deposit by making a further deposit(s) in amounts equal to the difference between the balance of the deposit and an amount equal to two (2) months of the then maintenance charges. Failure to replenish the deposit in a timely fashion shall result in the Lessor having a lien against the shares appurtenant to the apartment.

The Managing Agent has agreed to hold the deposit in a special account at a bank authorized by Lessor. The deposit and interest accrued thereon (less interest in an amount equal to one percent (1%) of the deposit, which may be retained by the Managing Agent on an annual basis as an administrative fee) will continue to be the Lessee's monies and will be held in trust and not be commingled with the monies of or become an asset of, Lessor, the Managing Agent or the tenant of the apartment.

The provisions of this sub-paragraph (b) are intended for the benefit of the tenant and are not intended to abrogate any rights

of the Lessee as against the Lessor: said provisions may not be amended to eliminate, diminish or otherwise change any of the rights or privileges of the tenant, unless permitted by law.

CANCELLATION OF PRIOR AGREEMENTS

9. If at the date of the commencement of this lease, the Lessee has the right to possession of the apartment under any agreement this lease shall supersede such agreement which shall be of no further effect after the date of commencement of this lease, except for claims theretofore arising thereunder.

QUIET ENJOYMENT

10. The Lessee, upon paying the rent and performing the covenants and complying with the conditions on the part of the Lessee to be performed as herein set forth, shall, at all times during the term hereby granted, quietly have, hold and enjoy the Demised Premises without any let, suit, trouble or hindrance from the Lessor, subject, however, to the rights of present tenants or occupants of the apartment, and subject to any and all mortgages and underlying leases of the land and building, as provided in paragraph 22 below.

INDEMNITY

11. The Lessee agrees to save the Lessor harmless from all liability, loss, damage and expense arising from injury to person or property occasioned by the failure of the Lessee to comply with any provision hereof, or due wholly or in part to any act, default or omission of the Lessee or of any person dwelling or visiting in or using the Demised Premises, or by the Lessor, its agents, servants or contractors when acting as agent for the Lessee as in this lease provided. This paragraph shall not apply to any loss or damage when Lessor is covered by insurance which provides for waiver of subrogation against the Lessee.

PAYMENT OF RENT

12. The Lessee will pay the rent to the Lessor upon the terms and at the times herein provided, without any deduction on account of any set-off or claim which the Lessee may have against the Lessor. A late charge of five (\$.05) cents for each one (\$1.00) dollar overdue for more than ten (10) days will be charged to any Lessee who shall fail to pay any installment of rent timely and/or interest thereon at a rate to be fixed from time to time by the Board of Directors of Lessor (but not to exceed the then legal rate) for the period from the date when such rent was due to the date paid. In addition, the Board of Directors of Lessor has the right to access a charge of fifteen (\$15.00) dollars for each "dishonored check" from

Lessee. Any such interest and other charges shall be deemed additional rent hereunder. A majority of Directors of Lessor at a duly called meeting thereof may alter or amend said sums set forth herein.

HOUSE RULES

13. The Lessor has adopted House Rules which are appended hereto, and the Directors may alter, amend or repeal such House Rules and adopt new House Rules. This lease shall be in all respects subject to such House Rules which, when a copy thereof has been furnished to the Lessee, shall be taken to be part hereof, and the Lessee hereby covenants to comply with all such House Rules and to see that they are faithfully observed by the family, guests, employees and subtenants of the Lessee. Breach of a House Rule shall be a default under this lease. The Lessor shall not be responsible to the Lessee for the nonobservance or violation of House Rules by any other lessee or person. All House Rules are deemed substantial obligations of the tenancy.

USE OF PREMISES

14. (a) The Lessee shall not, without the written consent of the Lessor on such conditions as Lessor may prescribe, occupy or use the Apartment or permit the same or any part thereof to be occupied or used for any purpose other than (i) any professional purpose or home occupation use permitted under, and subject to compliance with, applicable zoning law, building code or other rules and regulations of governmental authorities having jurisdiction and (ii) as a private dwelling for the Lessee and Lessee's spouse, their children, grandchildren, parents, grandparents, brothers and sisters and domestic employees, and in no event shall more than one married couple occupy the Apartment without the written consent of the Lessor. The Lessee may also allow one (1) unrelated party and that party's dependent children to occupy the Apartment without the prior written consent of the Lessor. In addition to the foregoing, the Apartment may be occupied from time to time by guests of the Lessee as long as such occupancy is not violative of applicable zoning laws, building code or other rules and regulations of governmental authorities having jurisdiction. Occupancy by guests of the Lessee shall be for a period of time not exceeding one month, unless a longer period is approved in writing by the Lessor, but not guests may occupy the Apartment unless one or more of the permitted residents are then in occupancy or unless consented to in writing by the Lessor. The Sponsor and Holders of Unsold Shares may also use their Apartments for models, sales an/or rental offices, and display "For Rent" and/or "For Sale" signs without the prior consent of the Lessor.

Use of Parking Space

(b) The Lessee shall not use the parking space, or permit the same or any part thereof to be used for any purpose other than as a space for the parking of one (1) passenger automobile. The parking space shall not be used by any person other than the Lessee, and the Lessee's children, grandchildren, parents, grandparents, siblings and domestic employees, without the written consent of the Lessor on such conditions as the Lessor may prescribe. In addition to the foregoing, the parking space may be used from time to time by guests of the Lessee for a period not exceeding one month unless a longer period is approved in writing by the Lessor.

SUBLETTING

15. The Lessee (unless the Lessee is the Sponsor, or a holder of Unsold Shares) shall not sublet the whole or any part of the Demised Premises or renew or extend any previously authorized sublease, unless consent thereto shall have been duly authorized by a resolution of the Directors, or given in writing by a majority of the Directors or, if the Directors shall have failed or refused to give such consent, then by lessees owning at least two-thirds of the then issued and outstanding shares of the Lessor. There shall be no limitation on the right of Directors or lessees to grant or withhold consent to a subletting for any or no reason except as limited by law. Any such subletting may be subject to the procedures and fees as the Directors and/or Managing Agent may impose. No consent to a subletting shall operate to release the Lessee from any obligation hereunder.

ASSIGNMENT

16. (a) The Lessee (unless the Lessee is the Sponsor, or a holder of Unsold Shares) shall not assign this lease or transfer the shares to which it is appurtenant or any interest therein, without obtaining the consent or authorization of the Directors of shareholders and the Lessee shall be required to comply with the following:

(i) The Lessee shall deliver to Lessor an instrument of assignment executed and acknowledged by the assignor and;

(ii) Lessee shall deliver to the Lessee an agreement executed and acknowledged by the assignee assuming and agreeing to be bound by all the covenants and conditions of this lease to be performed or complied with by the Lessee on and after the effective date of said assignment or, the assignee shall have surrendered the assigned lease and entered into a new lease in the same form for the remainder of the term, in which case the Lessee's lease shall be

deemed cancelled as of the effective date of said assignment; and

(iii) All shares of the Lessor to which this lease is appurtenant shall be transferred to the assignee, with proper transfer taxes paid and stamps affixed; and

(iv) All sums due from the Lessee shall be paid to the Lessor, together with a sum to be fixed by the Directors to cover reasonable legal and other expenses of the Lessor and its managing agent and in connection with such assignment and transfer of shares and a transfer fee to be fixed by the Directors; and

(v) Lessee shall deliver to the Lessor a search or certification from a title or abstract company; and

(vi) If the Lessee's shares are allocated to an apartment occupied by a non-purchasing tenant, the Lessee shall deliver to Lessor a notice addressed to the non-purchasing tenant at the Building (or at such other address as the non-purchasing tenant may indicate by written notice to the Managing Agent) containing the name and address of the transferee, ready for mailing by registered or certified mail, return receipt requested, by the Lessor, within thirty (30) days after such change in ownership has become effective; and

(vii) Except for those transfers exempted from this provision as set forth below, the Directors of Lessor who are residents of the Building and unrelated to T.J.S. Associates or to holders of Unsold Shares (as said term is defined in the Cooperative Offering Plan pursuant to which Lessor acquired the Building) are authorized to impose and collect from Lessee, and Lessee shall pay to Lessor, a transfer fee for the assignment or transfer of this Lease and the related shares of Lessor to which this Lease is appurtenant. This fee shall be due and payable at closing of the assignment or transfer as noted on Lessor's records. Such fee shall be in the amount of three (\$3.00) dollars per share unless those shareholders of Lessor owning at least 66 2/3 percent of the outstanding shares of Lessor approve a different fee. Such fee shall continue after it is imposed until modified or eliminated by vote of a majority to those Directors of Lessor who are residents of the Building and unrelated to T.J.S. Associates or to the holders of Unsold Shares. However, in no event may the transfer fee be modified to impose a fee on the transfer or assignment of Unsold Shares or of shares to be transferred or assigned to or from T.J.S. Associates. The transfer fee may be used for working capital or operations, to make repairs or improvements or any other appropriate corporate purpose determined by the Board of Directors of Lessor.

Notwithstanding the above, the following assignments or transfers shall be exempted from paying this transfer fee (irrespective of whether any consideration is paid to Lessee):

- (A) transfer within an "immediate family" defined for purposes of the Plan as adult children of the Lessee (whether by blood or adoption), siblings and their spouses, spouse's parents and parents-in-law;
- (B) transfer to an executor or administrator on the death of Lessee and transfers from an executor or administrator to a member of the "immediate family" of the deceased Lessee;
- (C) all transfers of Unsold Shares to whomsoever;
- (D) all transfers to T.J.S. Associates or from T.J.S. Associates to any one else;
- (E) transfer from T.J.S. Associates to individual partners of T.J.S. Associates; and
- (F) transfer resulting from reallocation of shares between two (2) or more apartments (including Unsold Shares); and

Consents: On Death of Lessee

(b) If the Lessee shall die, consent shall not be unreasonably withheld or delayed to an assignment of the lease and shares to a financially responsible member of the Lessee's family (other than the Lessee's spouse), as that term is defined in Paragraph 14 as to whom no consent is required.

Consents Generally: Lessee's and Directors' Obligations to Consent

(c) There shall be no limitation, except as above specifically provided, on the right of the Directors or Lessees to grant or withhold consent, for any reason or for no reason, to an assignment, where such consent is required.

Release of Lessee Upon Assignment

(d) If the lease shall be assigned in compliance herewith, the Lessee-assignor shall have no further liability on any of the covenants of this lease to be thereafter performed.

Further Assignment or Subletting

(e) Regardless of any prior consent, theretofore given, neither the Lessee nor his executor, nor administrator, nor any trustee or receiver of the property of the Lessee, nor anyone to whom the interests of the Lessee shall pass by law, shall be entitled

further to assign this lease, or to sublet the apartment or any part thereof, except upon compliance with the requirements of this lease. The restrictions on the assignment of this lease, as hereinbefore set forth, are a special consideration and inducement for the granting of this lease by the Lessor to the Lessee. No demand or acceptance of rent from any assignee hereof shall constitute or be deemed to constitute a consent to or approval of any assignment.

Statement by Lessor

(f) If this lease is then in force and effect, the Lessor will, upon request of the Lessee, deliver to the assignee a written statement that this lease remains on the date thereof in force and effect; but no such statement shall be deemed an admission that there is no default under the lease.

PLEDGE OF SHARES AND LEASE

17. (a) A pledge of this Lease and the shares to which it is appurtenant shall not be a violation of this Lease; but, except as otherwise provided elsewhere herein, neither the pledgee nor any transferee of the pledged security shall be entitled to have the shares transferred of record on the books of the Lessor, nor to vote such shares, nor to occupy or permit the occupancy by others of the Apartment, nor to sell such shares or this Lease, without first obtaining the consent of the Lessor in accordance with and after complying with all of the provisions of Paragraph 14, 15 or 16, as the case may be. The acceptance by Lessor of payments by the pledgee or any transferee of the pledged security on account of rent or additional rent shall not constitute a waiver of the aforesaid provisions.

(b) Notwithstanding the provisions of subparagraph (a) of this Paragraph 17 or any other provisions of this Lease to the contrary, the following provisions of this Paragraph shall govern and be binding.

(1) The Lessor agrees that it shall give to any holder of a security interest in the shares of the Lessor specified in the recitals of this Lease or mortgagee of this Lease who so requests (any such holder being hereinafter referred to as a "Secured Party"), a copy of any notice of default which the Lessor gives to the Lessee pursuant to the terms of this Lease, and if the Lessee shall fail to cure the default specified in such notice within the time and in the manner provided for in this Lease, then the Secured Party shall have an additional period of time, equal to the time originally given to the Lessee, to cure said default for the account of the Lessee or to cause same to be cured, and the Lessor will not act upon said default unless and until the time in which the Secured

Party may cure said default or cause same to be cured as aforesaid, shall have elapsed, and the default shall not have been cured.

(ii) If this Lease is terminated by the Lessor as provided in Paragraph 31 or 35 of this Lease, or by agreement with the Lessee, (1) the Lessor promptly shall give notice of such termination to the Secured Party and (2) upon request of the Secured Party made within thirty (30) days of the giving of such notice the Lessor (i) shall commence and prosecute a summary dispossess proceeding to obtain possession of the Apartment at the expense of the Secured Party, and (ii) shall, within sixty (60) days of its receipt of the aforesaid request by the Secured Party, reissue the aforementioned shares to, and (with respect to any termination other than under Paragraph 36 below) shall enter into a new proprietary lease for the apartment with, any individual designated by the Secured Party, or the individual nominee of the individual so designated by the Secured Party, all without the consent of the Directors or the shareholders to which reference is made in Paragraph 16(a) and 32(c) but with the consent only of the Lessor's then managing agent which shall not be unreasonably withheld or delayed, provided, however, that the Lessor shall have received payment, on behalf of the Lessee, of all rent, additional rent and other sums owned by the Lessee to the Lessor under this lease of the period ending on the date of reissuance of the aforementioned shares of the Lessor including, without limitation, sums owned under Paragraphs 32(a) and (c) of this Lease.

(iii) If the purchase by the Lessee of the shares allocated to the Apartment was financed by a loan made by (a) Sponsor under the Plan of cooperative organization of Lessor or individual(s) produced by Sponsor, or by a holder of Unsold Shares, or (b) a bank, savings bank or savings and loan association and a default or an event of default shall have occurred under the terms of the security agreement entered into between the Lessee and the Secured Party, and if (1) notice of said default or event of default shall have been given to the Lessor, (2) an individual designated by the Secured Party, or the individual nominee of the individual so designated by the Secured Party, shall be entitled to become the owner of the shares and the Lessee under this Lease pursuant to the terms of said security agreement, or either of them, (3) not less than five (5) days' written notice of an intended transfer of the shares and this Lease shall have been given to the Lessor and the Lessee, (4) there has been paid, on behalf of the Lessee, all rent, additional

rent and other sums owed by the Lessee to the Lessor under this Lease for the period ending on the date of transfer of the aforementioned shares as hereinafter provided, and (5) the Lessor shall be furnished with such affidavits, certificates, and opinions of counsel, in the form and substance reasonably satisfactory to the Lessor, indicating that the foregoing conditions (1) through (4) have been met, than (a) a transfer of the shares and the Proprietary Lease shall be made to such individual, upon request, and without the consent of the Directors or the shareholders.

(iv) Without the prior written consent of any Secured Party who has requested a copy of any notice of default as hereinbefore provided in subparagraph (b)(1) of this Paragraph 17, (a) the Lessor and the Lessee will not enter into any agreement modifying or cancelling this Lease, (b) no change in the forms terms or conditions of this Lease, as permitted by Paragraph 6, shall eliminate or modify any rights, privileges or obligations of a Secured Party as set forth in this Paragraph 17, (c) the Lessor will not terminate or accept a surrender of this Lease, except as provided in Paragraph 31 or 35 of this lease and in subparagraph (b)(1) of Paragraph 17, (d) the Lessee will not assign this lease or sublet the Apartment, (e) any modification, cancellation, surrender, termination or assignment of this Lease or any sublease of the Apartment not made in accordance with the provisions hereof shall be void and of no effect, (f) the Lessor will not consent to any further mortgage on this Lease or security interest created in the shares, (g) the Lessee will not make any further mortgage or create any further security interest in the shares or this Lease, and (h) any such further mortgage or security interest shall be void and of no effect.

(v) Any designee of a Secured Party to whom a transfer of a lease shall have been made pursuant to the terms of this subparagraph (b) hereof may cancel this Lease under the terms of paragraph 35 hereof; except that such designee (a) may cancel this Lease at any time after the designee acquires this Lease and the shares appurtenant hereto due to foreclosure of the security agreement; (b) need give only thirty (30) days' notice of its intention to cancel; and (c) may give such notice at any time during the calendar year.

(vi) A Secured Party claiming or exercising any of the rights and privileges granted it pursuant to the provisions of this subparagraph (b) shall be deemed to have agreed to indemnify Lessor for all loss, liability or expense (including reasonable attorneys' fees)

arising out of claims by Lessee, or his successors or assigns, against Lessor or the Secured Party, or their respective successors or assigns, for acts or omissions to act on the part of either Lessor or Secured Party, or their respective successors or assigns, pursuant to this subparagraph (b). Lessor will give the Secured Party written notice with reasonable promptness of any such claim against Lessor and the Secured Party may contest such claim in the name and on behalf of Lessor with counsel selected by the Secured Party at the Secured Party's sole expense. Lessor shall execute such papers and do such things as are reasonably necessary to implement the provisions of this subpart (vi).

(vii) Upon Lessee's final payment under the loan given by the Secured Party or upon prepayment of said loan, Secured Party will give Lessor notice of such final payment or prepayment (as the case may be).

(viii) If requested by Lessee, Lessor will enter into an agreement (commonly known as a "Recognition Agreement") with a Secured Party, such Recognition Agreement to be in the form approved by the Cooperative Housing Lawyers group or such other form approved by Lessor.

(c) No loan may exceed the maximum fixed by the Board of Directors of Lessor.

(d) The acceptance by Lessor of payments by a lender on account of rent or additional rent shall not constitute a waiver of any provisions of this Paragraph 17.

REPAIRS BY THE LESSEE

18. (a) The Lessee shall keep the interior of the apartment (including interior walls, floors and ceilings, but excluding windows, window panes, window frames, sashes, sills, entrance and terrace doors, frames and saddles) in good repair, shall do all of the painting and decorating required for his apartment, including the interior of window frames, sashes and sills, and shall be solely responsible for the maintenance, repair and replacement of plumbing, gas and heating fixtures and equipment, and such refrigerators, dishwashers, removable and through-the-wall air conditioners, washing machines, ranges and other appliances, as may be in the apartment. Plumbing, gas and heating fixtures as used herein shall include exposed gas, steam and water pipes attached to fixtures, appliances and equipment and the fixtures, appliances and equipment to which they are attached, and any special pipes or equipment which the Lessee may install within the wall or ceiling, or under the floor, but shall not include gas, steam, water or other

pipes or conduits within the walls, ceilings or floors or air conditioning or heating equipment which is part of the standard building equipment. The Lessee shall be solely responsible for the maintenance, repair and replacement of all lighting and electrical fixtures, appliances, and equipment, and all meters, fuse boxes or circuit breakers and electrical wiring and conduits from the junction box at the riser into and through the Lessee's apartment. Any ventilator or air conditioning device which shall be visible from the outside of the building shall at all times be painted by the Lessee in a standard color which the Lessor may select for the building.

Odor and Noises

(b) The Lessee shall not permit unreasonable cooking or other odors to escape into the building. The Lessee shall not permit or suffer any unreasonable noises or anything which will interfere with the rights of other lessees or unreasonably annoy them or obstruct the public halls or stairways.

Equipment and Appliances

(c) If, in the Lessor's sole judgment, any of the Lessee's equipment or appliances shall result in damage to the building or poor quality or interruption of service to other portions of the building, or overloading of, or damage to facilities maintained by the Lessor for the supplying of water, gas, electricity or air conditioning to the building, or if any such appliances visible from the outside of the building shall become rusty or discolored, the Lessee shall promptly, on notice from the Lessor, remedy the condition and, pending such remedy, shall cease using any appliance or equipment which may be creating the objectionable condition.

Rules and Regulations and Requirements of Mortgages

(d) The Lessee will comply with all the requirements of the Board of Fire Underwriters, insurance authorities and all governmental authorities and with all laws, ordinances, rules and regulations with respect to the occupancy or use of the apartment. If any mortgage affecting the land or the building shall contain any provisions pertaining to the right of the Lessee to make changes or alterations in the apartment, or to remove any of the fixtures, appliances, equipment or installations, the Lessee herein shall comply with the requirements of such mortgage or mortgages relating thereto. Upon the Lessee's written request, Lessor will furnish Lessee with copies of applicable provisions of each and every such mortgage.

LESSOR'S RIGHT TO REMEDY LESSEE'S DEFAULTS

19. If the Lessee shall fail for thirty (30) days after notice to make repairs to any part of the apartments, its fixtures or

equipment as herein required, or shall fail to remedy a condition which has become objectionable to the Lessor for reasons above set forth, or if the Lessee or any person dwelling in the apartment shall request the Lessor, its agents or servants to perform any act not hereby required to be performed by the Lessor, the Lessor may make such repairs, or arrange for others to do the same, or remove such objectionable condition or equipment, or perform such act, without liability on the Lessor, provided that, if the condition requires prompt action, notice of less than thirty (30) days or, in case of emergency, no notice need be given. In all such cases the Lessor, its agents, servants and contractors shall, as between the Lessor and Lessee, be conclusively deemed to be acting as agents of the Lessee and all contracts therefor made by the Lessor shall be so construed whether or not made in the name of the Lessee. If Lessee shall fail to perform or comply with any of the other covenants or provisions of this lease within the time required by a notice from Lessor (not less than (5) days), then Lessor may, but shall not be obligated, to comply therewith, and for such purposes may enter upon the apartment of Lessee. The Lessor shall be entitled to recover from the Lessee all expenses incurred or for which it has contracted hereunder, such expenses to be payable by the Lessee on demand as additional rent.

INCREASE IN RATE OF FIRE INSURANCE

20. The Lessee shall not permit or suffer anything to be done or kept on the Demised Premises which will increase the rate of fire insurance on the building or the contents thereof. If, by reason of the occupancy or use of the Demised Premises by the Lessee, the rate of fire insurance on the building or the Demised Premises or the contents of either shall be increased, the Lessee shall (if such occupancy or use continues for more than thirty (30) days after written notice from the Lessor specifying the objectionable occupancy or use) become liable for the additional insurance premiums incurred by Lessor or any lessee or lessees of apartments in the building on all policies so affected, and the Lessor shall have the right to collect the same for its benefit or the benefit of any such lessees as additional rent for the Demised Premises due on the first day of the calendar month following written demand therefor by the Lessor.

ALTERATIONS

21. (a) The Lessee, unless a holder of Unsold Shares, shall not, without first obtaining the written consent of the Lessor, which consent shall not be unreasonably withheld, make in the apartment or building, or on any roof, penthouse, terrace or balcony appurtenant thereto, any alteration, enclosure or addition or any alteration of or addition to the water, gas, or steam risers or pipes, heating or air conditioning system or units, electrical conduits, wiring or outlets, plumbing fixtures, intercommunication or alarm system, or any other installation or facility in the apartment or building. The performance by Lessee of any work in the apartment

shall be in accordance with any applicable rules and regulations of the Lessor and governmental agencies having jurisdiction thereof. The Lessee shall not in any case install any appliances which will overload the existing wires or equipment in the building.

Removal of Fixtures

(b) Without Lessor's written consent, the Lessee, unless Sponsor or holder of Unsold Shares, shall not remove any fixtures, appliances, additions or improvements from the apartment except as hereinafter provided. If the Lessee, or a prior lessee, shall have heretofore placed, or the Lessee shall hereafter place in the apartment, at the Lessee's own expense, any additions, improvements, appliances or fixtures, including but not limited to fireplace mantels, lighting fixtures, refrigerators, air conditioners, dishwashers, washing machines, ranges, woodwork, wall paneling, ceilings, special doors or decorations, special cabinet work, special stair railings or other built-in ornamental items, which can be removed without structural alterations or permanent damage to the apartment, then title thereto shall remain in the Lessee and the Lessee shall have the right, prior to the termination of this lease, to remove the same at the Lessee's own expense, provided: (i) that the Lessee at the time of such removal shall not be in default in the payment of rent or in the performance or observance of any other covenants or conditions of this lease; (ii) that the Lessee shall, at the Lessee's own expense, prior to the termination of this lease, repair all damage to the apartment which shall have been caused by either the installation or removal of any such additions, improvements, appliances or fixtures; (iii) that if the Lessee shall have removed from the apartment any articles or materials owned by the Lessor or its predecessor in title, or any fixtures or equipment necessary for the use of the apartment, the Lessee shall either restore such articles and materials and fixtures and equipment and repair any damage resulting from their removal and restoration, or replace them with others of a kind and quality customary in comparable buildings and satisfactory to the Lessor, and (iv) that if any mortgagee had acquired a lien on any such property prior to the execution of this lease, Lessor shall first procure from such mortgagee its written consent to such removal.

Surrender on Expiration of Term

(c) On the expiration or termination of this lease, the Lessee shall surrender to the Lessor possession of the apartment with all additions, improvements, appliances and fixtures then included therein, except as hereinabove provided. Any additions, improvements, fixtures or appliances not removed by the Lessee on or before such expiration or termination of this lease shall, at the option of the Lessor, be deemed abandoned and shall become the property of the Lessor and may be disposed of by the Lessor without liability or accountability to the Lessee.

LEASE SUBORDINATE TO MORTGAGE AND GROUND LEASE

22. This lease is and shall be subject and subordinate to all present and future ground or underlying leases and to any mortgages now or hereafter liens upon such leases or on the land and Building and/or any real property owned by Lessor and to any and all extensions, modifications, consolidations, renewals and replacements thereof. This clause shall be self-operative and no further instrument of subordination shall be required by any such mortgagee or ground or underlying lessee. In confirmation of such subordination the Lessee shall at any time, and from time to time, on demand, execute any instruments that may be required by any mortgagee, or by the Lessor, for the purpose of more formally subjecting this lease to the lien of such mortgage or mortgages or ground or underlying leases, and the duly elected officers, for the time being, of the Lessor are and each of them is hereby irrevocably appointed the attorney-in-fact and agent of the Lessee, to execute the same upon such demand, and the Lessee hereby ratifies any such instrument hereafter executed by virtue of the power of attorney hereby given.

In the event that a ground or underlying lease is executed and delivered to the holder of a mortgage or mortgages on such ground or underlying lease or to a nominee or designee of or a corporation formed by or for the benefit of such holder, the Lessee hereunder will attorn to such mortgagee or the nominee or designee of such mortgagee or to any corporation formed by or for the benefit of such mortgagee.

MECHANIC'S LIEN

23. In the case a notice of mechanic's lien against the building shall be filed purporting to be for labor or material furnished or delivered at the building or the Demised Premises to or for the Lessee, or anyone claiming under the Lessee, the Lessee shall forthwith cause such lien to be discharged by payment, bonding or otherwise; and if the Lessee shall fail to do so within ten days after notice from the Lessor, then the Lessor may cause such lien to be discharged by payment, bonding or otherwise, without investigation as to the validity thereof or of any offsets or defenses thereto, and shall have the right to collect, as additional rent, all amounts so paid and all costs and expenses paid or incurred in connection therewith, including reasonable attorneys' fees and disbursements, together with interest thereon from the time or times of payment.

COOPERATION

24. The Lessee shall always in good faith endeavor to observe and promote the cooperative purposes for the accomplishment of which the Lessor is incorporated.

RIGHT OF ENTRY

25. The Lessor and its agents and their authorized workmen shall be permitted to visit, examine, or enter the apartment and any storage space assigned to Lessee at any reasonable hour of the day upon notice, or at any time and without notice in case of emergency, to make or facilitate repairs in any part of the building or to cure any default by the Lessee and to remove such portions of the walls, floors and ceilings of the apartment and storage space as may be required for any such purpose, but the Lessor shall thereafter restore the apartment and storage space to its proper and usual condition at Lessor's expense if such repairs are the obligation of Lessor, or at Lessee's expense if such repairs are the obligation of Lessee or are caused by the act or omission of the Lessee or any of the Lessee's family, guests, agents, employees or subtenants. In order that the Lessor shall at all times have access to the apartment or storage rooms for the purposes provided for in this lease, the Lessee shall provide the Lessor with a key to each lock providing access to the apartment or storage rooms, and if any lock shall be altered or new lock installed, the Lessee shall provide the Lessor with a key thereto immediately upon installation. If the Lessee shall not be personally present to open and permit an entry at any time when an entry therein shall be necessary or permissible hereunder, and shall not have furnished a key to Lessor, the Lessor or the Lessor's agents (but, except in an emergency, only when specifically authorized by an officer of the Lessor or an officer of the Managing Agent) may forcibly enter the apartment or storage space without liability for damages by reason thereof (if during such entry the Lessor shall accord reasonable care to the Lessee's property), and without in any manner affecting the obligations and covenants of this lease. The right and authority hereby reserved do not impose, nor does the Lessor assume by reason thereof, any responsibility or liability for the care or supervision of the apartment, or any of the pipes, fixtures, appliances, or appurtenances therein contained, except as herein specifically provided.

WAIVERS

26. The failure of the Lessor to insist, in any one or more instances upon a strict performance of any of the provisions of this lease, or to exercise any right or option herein contained, or to serve any notice, or to institute any action or proceeding, shall not be construed as a waiver, or a relinquishment for the future, of any such provisions, options or rights, but such provision, option or right shall continue and remain in full force and effect. The receipt by the Lessor of rent, with knowledge of the breach of any covenant hereof, shall not be deemed a waiver of such breach, and no waiver by the Lessor of a provision hereof shall be deemed to have been made unless in a writing expressly approved by the Directors.

NOTICES

27. Any notice by or demand from either party to the other shall be duly given only if in writing and sent by certified mail, return receipt requested; if by the Lessee, addressed to the Lessor at the building with a copy sent by regular mail to the Lessor's Managing Agent; if to the Lessee, addressed to the Lessee at the building. Either party may by notice served in accordance herewith designate a different address for service of such notice or demand. Notices or demands shall be deemed given on the date when mailed, except notices of change of address shall be deemed served when received.

REIMBURSEMENT OF LESSOR'S EXPENSES

28. If the Lessee shall at any time be in default hereunder and the Lessor shall incur any expense (whether paid or not) in performing acts which the Lessee is required to perform, or in instituting any action or proceeding based on such default, or defending or asserting a counterclaim in any action or proceeding brought by the Lessee, the expense thereof to the Lessor, including reasonable attorneys' fees and disbursements shall be paid by the Lessee to the Lessor, on demand, as additional rent.

LESSOR'S IMMUNITIES

29. (a) The Lessor shall not be liable, except by reason of Lessor's negligence, for any failure or insufficiency of heat, or of air conditioning (where air conditioning is supplied or air conditioning equipment is maintained by the Lessor), water supply, electric current, gas, telephone or elevator service or other service to be supplied by the Lessor hereunder, or for interference with light, air, view or other interests of the Lessee. No abatement of rent or other compensation or claim of eviction shall be made or allowed because of the making or failure to make or delay in making any repairs, alterations or decorations to the building, or any fixtures or appurtenances therein, or for space taken to comply with any law, ordinance or governmental regulation, or for interruption or curtailment of any service agreed to be furnished by the Lessor, due to accidents, alterations or repairs, or to difficulty or delay in securing supplies or labor or other cause beyond Lessor's control, unless due to Lessor's negligence. Nothing contained herein shall be deemed to limit Lessor's obligations (if any) under Section 235b of the Real Property Law.

Storage Space and Laundry

(b) If the Lessor shall furnish to the Lessee any storage bins or space, the use of the laundry, or any facility outside the apartment, including but not limited to a television

antenna, the same shall be deemed to have been furnished gratuitously by the Lessor under a revocable license. The Lessee shall not use such storage space for the storage of valuable or perishable property and any such storage space assigned to Lessee shall be kept by Lessee clean and free of combustibles. If washing machines or other equipment are made available to the Lessee, the Lessee shall use the same with the understanding that such machines or equipment may or may not be in good order and repair and that the Lessor is not responsible for such equipment, nor for any damage caused to the property of the Lessee resulting from the Lessee's use thereof, and that any use that Lessee may make of such equipment shall be at his own cost, risk and expense.

Automobiles and Other Property

(c) The Lessor shall not be responsible for any damage to any automobile or other vehicle left in the care of any employee of the Lessor by the Lessee, and the Lessee hereby agrees to hold the Lessor harmless from any liability arising from any injury to person or property caused by or with such automobile or other vehicle while in the care of such employee. The Lessor shall not be responsible for any property left with or entrusted to any employee of the Lessor, or for the loss of or damage to any property within or without the apartment by theft or otherwise.

WINDOW CLEANING

30. The Lessee will not require, permit, suffer or allow the cleaning of any window in the apartment from the outside (within the meaning of Section 202 of the New York Labor Law) unless the equipment and safety devices required by law, ordinance, rules and regulations, including, without limitation, Section 202 of the New York Labor Law, are provided and used, and unless the industrial code of the State of New York is fully complied with; and the Lessee hereby agrees to indemnify the Lessor and its employees, other lessees, and the managing agent, for all losses, damages or fines suffered by them as a result of the Lessee's requiring, permitting, suffering or allowing any window in the apartment to be cleaned from the outside in violation of the requirements of the aforesaid laws, ordinances, regulations and rules.

TERMINATION OF LEASE BY LESSOR

31. If upon, or at any time after, the happening of any of the events mentioned in subdivisions (a) to (j) inclusive of this Paragraph 31, the Lessor shall give to the Lessee a notice stating that the term hereof will expire on a date at least five days thereafter, the term of this lease shall expire on the date so fixed in such notice as fully and completely as if it were the date herein definitely fixed for the expiration of the term, and all right, title and interest of the Lessee hereunder shall thereupon wholly cease and

expire, and the Lessee shall thereupon quit and surrender the apartment to the Lessor, it being the intention of the parties hereto to create hereby a conditional limitation, and thereupon the Lessor shall have the right to re-enter the apartment and to remove all persons and personal property therefrom, either by summary dispossess proceedings, or by any suitable action or proceeding at law or in equity, or by force or otherwise, and to repossess the apartment in its former estate as if this lease had not been made, and no liability whatsoever shall attach to the Lessor by reason of the exercise of the right of re-entry, re-possession and removal herein granted and reserved:

Lessee Ceasing to Own Accompanying Shares

(a) If the Lessee shall cease to be the owner of the shares to which this lease is appurtenant, or if this lease shall pass or be assigned to anyone who is not then the owner of all of said shares;

Lessee Becoming Bankrupt

(b) If at any time during the term of this lease (i) the then holder hereof shall be adjudicated a bankrupt under the laws of the United States; or (ii) a receiver of all of the property of such holder or of the lease shall be appointed under any provision of the laws of the State of New York, or under any statute of the United States, or any statute of any state of the United States and the order appointing such receiver shall not be vacated within thirty days; or (iii) such holder shall make a general assignment for the benefit of creditors; or (iv) any of the shares owned by such holder to which this lease is appurtenant shall be duly levied upon under the process of any court whatever unless such levy shall be discharged within thirty days; or (v) this lease or any of the shares to which it is appurtenant shall pass by operation of law or otherwise to anyone other than the Lessee herein named or a person to whom such Lessee has assigned this lease in the manner herein permitted, but this subsection (v) shall not be applicable if this lease shall devolve upon the executors or administrators of the Lessee and provided that within eight (8) months (which period may be extended by the Directors) after the death said lease and shares shall have been transferred to any assignee in accordance with Paragraph 16 hereof;

Assignment, Subletting or Unauthorized Occupancy

(c) If there be an assignment of this lease, or any subletting hereunder, without full compliance with the requirements of Paragraphs 15 or 16 hereof; or if any person not authorized by Paragraph 14 shall be permitted to use or occupy the Demised Premises, and the Lessee shall fail to cause such unauthorized person to vacate the Demised Premises within ten (10) days after written notice from the Lessor;

Default in Rent

(d) If the Lessee shall be in default for a period of one month in the payment of any rent or additional rent or of any installment thereof and shall fail to cure such default within ten (10) days after written notice from the Lessor;

Default in Other Covenants

(e) If the Lessee shall be in default in the performance of any covenant or provision hereof, other than the covenant to pay rent, and such default shall continue for thirty (30) days after written notice from the Lessor;

Objectionable Conduct

(f) If at any time the Lessor shall determine, upon the affirmative vote of two-thirds (2/3rds) of its then Board of Directors, at a meeting duly called for that purpose, that because of objectionable conduct on the part of the Lessee, or of a person dwelling or visiting in the apartment, repeated after written notice from Lessor, the tenancy of the Lessee is undesirable;

Termination of All Proprietary Leases

(g) If at any time the Lessor shall determine, upon the affirmative vote of two-thirds (2/3rds) of its then Board of Directors at a meeting of such directors duly called for that purpose and the affirmative vote of the record holders of at least 75% in amount of its then issued shares, at a shareholders meeting duly called for that purpose, to terminate all proprietary leases;

Destruction of Building

(h) If the building shall be destroyed or damaged and the shareholders shall decide not to repair or rebuild as provided in Paragraph 4;

Condemnation

(i) If at any time the building or a substantial portion thereof shall be taken by condemnation proceedings.

Default Under Loan Agreement

(j) If the Lessee shall be in default in the payment of any note or the terms, covenants and conditions of any loan security agreement secured by a pledge of this lease and the shares allocated to the Apartment.

LESSOR'S RIGHTS AFTER LESSEE'S DEFAULT

32. (a) In the event the Lessor resumes possession of the Demised Premises, either by summary proceedings, action of ejectment or otherwise, because of default by the Lessee in the payment of any rent or additional rent due hereunder, or on the expiration of this lease pursuant to a notice given as provided in Paragraph 31 hereof upon the happening of any event specified in subsections (a) to (f) inclusive or (j) of Paragraph 31, Lessee shall continue to remain liable for payment of a sum equal to the rent which would have become due hereunder and shall pay the same in installments at the time such rent would be due hereunder. No suit brought to recover any installment of such rent or additional rent shall prejudice the right of the Lessor to recover any subsequent installment. After resuming possession, the Lessor may, at its option, from time to time (i) relet the Demised Premises for its own account, or (ii) relet the apartment as the agent of the Lessee, in the name of the Lessee or in its own name, for a term or terms which may be less than or greater than the period which would otherwise have constituted the balance of the term of this lease, and may grant concessions or free rent, in its discretion. Any reletting of the Demised Premises shall be deemed for the account of the Lessee, unless within ten days after such reletting the Lessor shall notify the Lessee that the Demised Premises has been relet for the Lessor's own account. The fact that the Lessor may have relet the Demised Premises as agent for the Lessee shall not prevent the Lessor from thereafter notifying the Lessee that it proposes to relet the Demised Premises for its own account. If the Lessor sublets the Demised Premises as agent for the Lessee, it shall, after reimbursing itself for its expenses in connection therewith, including leasing commissions and a reasonable amount for attorneys' fees and expenses, and decorations, alterations and repairs in and to the Demised Premises, apply the remaining avails of such reletting against the Lessee's continuing obligations hereunder. There shall be a final accounting between the Lessor and the Lessee upon the earliest of the four following dates: (A) the date of expiration of the term of this lease as stated on page 1 hereof; (B) the date as of which a new proprietary lease covering the Demised Premises shall have become effective; (C) the date the Lessor gives written notice to the Lessee that it has relet the Demised Premises for its own account; (D) the date upon which all proprietary leases of the Lessor terminate. From and after the date upon which the Lessor becomes obligated to account to the Lessee, as above provided, the Lessor shall have no further duty to account to the Lessee for any avails of reletting and the Lessee shall have no further liability for sums thereafter accruing hereunder, but such termination of the Lessee's liability shall not affect any liabilities theretofore accrued.

Collection of Rent from Sub-Tenants

(b) If the Lessee shall at any time sublet the Demised Premises and shall default in the payment of any rent or additional

rent, the Lessor may, at its option, so long as such default shall continue, demand and receive from the subtenant the rent due or becoming due from such subtenant to the Lessee, and apply the amount to pay sums due and to become due from the Lessee to the Lessor. Any payment by a subtenant to the Lessor shall constitute a discharge of the obligation of such subtenant to the Lessee, to the extent of the amount so paid. The acceptance of rent from any subtenant shall not be deemed a consent to or approval of any subletting or assignment by the Lessee, or a release or discharge of any of the obligations of the Lessee hereunder.

Sale of Shares

(c) Upon the termination of this lease under the provisions of subdivisions (a) to (f) inclusive or (j) of Paragraph 31, the Lessee shall surrender to the Lessor the certificate for the shares of the Lessor owned by the Lessee to which this lease is appurtenant. Whether or not said certificate is surrendered, the Lessor may issue a new proprietary lease for the Demised Premises and issue a new certificate for the shares of the Lessor owned by the Lessee and allocated to the Demised Premises when a purchaser therefor is obtained, provided that the issuance of such shares and such lease to such purchaser is authorized by a resolution of the Directors, or by a writing signed by a majority of the Directors or by lessees owning, of record, at least a majority of the shares of the Lessor accompanying proprietary leases then in force. Upon such issuance the certificate owned or held by the Lessee shall be automatically cancelled and rendered null and void. The Lessor shall apply the proceeds received for the issuance of such shares toward the payment of the Lessee's indebtedness hereunder, including interest, attorneys' fees and other expenses incurred by the Lessor, and, if the proceeds are sufficient to pay the same, the Lessor shall pay over any surplus to the Lessee, but, if insufficient, the Lessee shall remain liable for the balance of the indebtedness. Upon the issuance of any such new proprietary lease and certificate, the Lessee's liability hereunder shall cease and the Lessee shall only be liable for rent and expenses accrued to that time. The Lessor shall not, however, be obligated to sell such shares and appurtenant lease or otherwise make any attempt to mitigate damages.

WAIVER OF RIGHT OF REDEMPTION

33. The Lessee hereby expressly waives any and all right of redemption in case the Lessee shall be dispossessed by judgment or warrant of any court or judge. The words "enter", "re-enter" and "re-entry" as used in this lease are not restricted to their technical legal meaning.

SURRENDER OF POSSESSION

34. Upon the termination of this lease under the provisions of subdivisions (a) to (f) inclusive or (j) of Paragraph 31, Lessee

shall remain liable as provided in Paragraph 32 of this lease. Upon the termination of this lease under any other of its provisions, the Lessee shall be and remain liable to pay all rent, additional rent and other charges due or accrued and to perform all covenants and agreements of the Lessee up to the date of such termination. On or before any such termination the Lessee shall vacate the Demised Premises and surrender possession thereof to the Lessor or its assigns, and upon demand of the Lessor or its assigns, shall execute, acknowledge and deliver to the Lessor or its assigns any instrument which may reasonably be required to evidence the surrendering of all estate and interest of the Lessee in the apartment, or in the building of which it is a part.

LESSEE'S OPTION TO CANCEL

35. (a) This lease may be cancelled by the Lessee on any September 30th after the third anniversary of the consummation of the Offering Plan pursuant to which proprietary leases were originally issued, upon complying with all the provisions hereinafter set forth. Irrevocable written notice of intention to cancel must be given by the Lessee to the Lessor on or before April 1 in the calendar year in which such cancellation is to occur. At the time of the giving of such notice of intention to cancel there must be deposited with the Lessor by the Lessee:

Deposits of Required

(i) the Lessee's counterpart of this lease with a written assignment in form required by the Lessor, in blank, effective as of August 31 of the year of cancellation, free from all subleases, tenancies, liens, encumbrances and other charges whatsoever;

(ii) the Lessee's certificate for his shares of the Lessor, endorsed in blank for transfer and with all necessary transfer tax stamps affixed and with payment of any transfer taxes due thereon;

(iii) a written statement setting forth in detail those additions improvements, fixtures or equipment which the Lessee has, under the terms of this lease, the right to and intends to remove.

Removal of Fixtures

(b) All additions, improvements, appliances and fixtures which are removable under the terms of this lease and which are enumerated in the statement made as provided in subdivision (iii) above shall be removed by the Lessee prior to August 31st of the year of cancellation, and on or before said August 31st the Lessee shall deliver possession of the apartment to the Lessor in good condition

with all required equipment, fixtures and appliances installed and in proper operating condition and free from all subleases and tenancies, liens, encumbrances and other charges and pay to the Lessor all rent, additional rent and other charges which shall be payable under this lease up to and including the following September 30th.

Permission to Show and Occupy Premises

(c) The Lessor and its agent may show the apartment to prospective lessees, contractors and architects at reasonable times after notice of the Lessee's intention to cancel. After August 31st or the earlier vacating of the apartment, the Lessor and its agents, employees and lessees may enter the apartment, occupy the same and make such alterations and additions therein as the Lessor may deem necessary or desirable without diminution or abatement of the rent hereunder.

Effective Date of Cancellation

(d) If the Lessee is not otherwise in default hereunder and if the Lessee shall have timely complied with all of the provisions of subdivisions (a) and (b) hereof, then this lease shall be cancelled and all rights, duties and obligations of the parties hereunder shall cease as of the September 30th fixed in said notice, and the shares of Lessor shall become the absolute property of the Lessor, provided, however, that the Lessee shall not be released from any indebtedness owing to the Lessor on said last mentioned date.

Rights on Lessee's Default

(e) If the Lessee shall give the notice but fail to comply with any of the other provisions of this Paragraph, the Lessor shall have the option at any time prior to September 30th (i) of returning to the Lessee this lease, the certificate for shares and other documents deposited and thereupon the Lessee shall be deemed to have withdrawn the notice of intention to cancel this lease, or (ii) of treating this lease as cancelled as of the September 30th named in the notice of intention to cancel as the date for the cancellation of such lease, and bringing such proceedings and actions as it may deem best to enforce the covenants of the Lessee hereinabove contained and to collect from the Lessee the payments which the Lessee is required to make hereunder, together with reasonable attorneys' fees and expenses.

EXTENSION OF OPTION TO CANCEL

36. (a) If on April 1st in any year the total number of shares owned by lessees holding proprietary leases, who have given notice pursuant to Paragraph 35 of intention to cancel such proprietary leases on September 30th of said year, shall aggregate ten percent (10%) or more of the Lessor's outstanding shares,

exclusive of treasury shares, then the Lessor shall, prior to April 30th in such year, give a written notice to the holders of all issued shares of the Lessor, stating the total number of shares then outstanding and in its treasury and the total number of shares owned by lessees holding proprietary leases who have given notice of intention to cancel. In such case the proprietary lessees to whom such notice shall have been given shall have the right to cancel their leases in compliance with the provisions of Paragraph 35 hereof, provided only that written notice of the intention to cancel such leases shall be given on or before July 1st instead of April 1st.

Right of Lessees to Cancel

(b) If lessees owning at least 80% of the then issued and outstanding shares of the Lessor shall exercise the option to cancel their leases in one year, then this and all other proprietary leases shall thereupon terminate on the September 30th of the year in which such options shall have been exercised, as though every lessee had exercised such option. In such event none of the lessees shall be required to surrender his shares to the Lessor and all certificates for shares delivered to the Lessor by those who had, during that year, served notice of intention to cancel their leases under the provision hereof, shall be returned to such lessees.

CONTINUANCE OF COOPERATIVE MANAGEMENT OF BUILDING AFTER ALL LEASES TERMINATED

37. If the Lessor then owns the fee to the building, no later than thirty days after the termination of all proprietary leases, whether by expiration of their terms or otherwise, a special meeting of shareholders of the Lessor shall take place to determine whether (a) to continue to operate the building as a residential apartment building, (b) to alter, demolish or rebuild the building or any part thereof, or (c) to sell the building and liquidate the assets of the Lessor, and the Directors shall carry out the determination made at said meeting of shareholders of the Lessor, and all of the holders of the then issued and outstanding shares of the Lessor shall have such rights as enure to shareholders of corporations having title to real estate.

UNSOLD SHARES

38. (a) The term "Unsold Shares" means and has exclusive reference to the shares of the Lessor which were issued, at the closing of the transfer of the Property to Lessor (the "Closing"), to the Sponsor (as such term is defined in the Offering Plan) or its designees. Acquirers of Unsold Shares at the Closing, and designees of said acquirers of Unsold Shares, to whom Unsold Shares are transferred and designated in writing subsequent to the Closing, are herein sometimes referred to as "holders of Unsold Shares".

All shares which are Unsold Shares retain their character as such (regardless of transfer) until (i) the holder or a person related by blood or marriage to the holder becomes a bona fide resident of the apartment or (ii) a purchaser from the holder purchases for his bona fide occupancy of the apartment or the occupancy of a specified member of his immediate family or (iii) said shares are transferred in any fashion, without designation, in writing, as Unsold Shares.

This Paragraph 38 shall become inoperative as to this lease in the event that (i) the holder of shares to which this lease is appurtenant or a person related by blood or marriage to the holder becomes a bona fide resident of the apartment or (ii) a purchaser from the holder purchases for his bona fide occupancy of the apartment or the occupancy of a specified member of his immediate family or (iii) the shares are transferred without written designation that they are Unsold Shares.

(b) Anything contained in this lease to the contrary notwithstanding, the Lessor may not impose any limit on a loan which may be obtained by a purchaser from a holder of Unsold Shares.

Upon request, Lessor will promptly execute and deliver to a bank or other lender the form of Recognition Agreement then being used by banks in New York City with such other terms which the lender and the Lessor, in their discretion, may agree to for the protection of their respective interests.

(c) No sum for legal or other expenses referred to in Paragraph 16(a)(iv) of this lease shall be due from a holder of Unsold Shares in connection with an assignment and transfer of such shares (and of this lease) or sublet of the Demised Premises.

(d) The provisions of Paragraph 35 are not applicable to a Lessee who is the holder of the Unsold Shares accompanying this lease. However, on or after the fifth anniversary of the execution of this lease, if the Lessee is a holder of Unsold Shares he may cancel this lease and surrender the appurtenant shares if shares allocated to at least 85% of the apartments in the building which are subject to proprietary leases are then owned by persons other than holders of Unsold Shares and if he pays to the Lessor a sum determined by multiplying the monthly maintenance in effect under this lease when the notice of cancellation is given by 24 and delivers to Lessor the Lessee's counterpart of this lease with a written assignment in form required by Lessor, in blank, free from all liens, encumbrances and other charges whatsoever, other than a tenancy which was in existence when this lease was executed and the Lessee's certificate for his shares of the Lessor endorsed in blank for transfer and with all necessary transfer tax stamps affixed and with payment of any transfer taxes due thereon.

(e) If a Lessee who is a holder of Unsold Shares is required, or desires, to file an application or other document with

any administrative agency, the Lessor shall cooperate in all respects, including the furnishing of information and access to and/or copies of all books, records and documents reasonably required in connection therewith, and the filing by, and in the name of, the Lessor of documents required to be filed by it in connection therewith. Such Lessee will pay to the Lessor any expenses it incurs in complying with the foregoing.

(f) The Apartment Corporation will cooperate with Lessees who are holders of Unsold Shares in connection with the sale of their shares or the subleasing of the Demised Premises to which they are allocated and in connection with the filing of requisite amendments to the Plan, if any. Such cooperation shall include the furnishing of all relevant information concerning the premises and its operation and the furnishing of all required documents. If such documents are not in existence, the Lessees requesting them shall pay the cost of their preparation.

(g) The Lessor shall be required to furnish to tenants of apartments owned by holders of Unsold Shares all services to which they are entitled under their lease except services which the Lessee is required to furnish by his Proprietary Lease.

(h) Until all Unsold Shares have been sold to purchasers for occupancy or transferred without written designation, the Lessor may not eliminate or diminish any existing services without the consent of the Directors elected by the holders of Unsold Shares.

(i) If the Lessee is a holder of Unsold Shares, Lessee shall have the rights set forth in the Offering Plan to change, subdivide or combine apartments without the consent of the Lessor, provided such work is performed in full compliance with all legal requirements and the resulting changes do not encroach or impinge upon public areas of the building.

(j) Notwithstanding the provisions of Paragraph 21(a) of this Proprietary Lease, if the Lessee is a holder of Unsold Shares, Lessee shall have the rights set forth in the Plan to make alterations or additions in or to his apartment (and to its fixtures and equipment) without obtaining the Lessor's consent, provided such work is performed in full compliance with all legal requirements and the resulting changes do not encroach or impinge upon public areas of the building.

(k) Commencing with the annual meeting of shareholders which will be held after the fifth anniversary of the Closing Date, or a meeting called within thirty (30) days after a majority of the apartments in the building which were offered for sale have been sold to purchasers for occupancy, whichever is sooner, holders of Unsold Shares will, if necessary, cast their votes so that shareholders other than holders of Unsold Shares shall constitute a majority of the Board of Directors.

(l) Holders of Unsold Shares will not be required at any time to pay the Managing Agent or its successors a fee in connection with the services described in subparagraph 8(b) hereof to be performed by the Managing Agent or its successors.

(m) Holders of Unsold Shares will amend the Plan to provide current and accurate information until the apartments and parking space, if any, to which their shares are allocated have been sold to bona fide purchasers and will provide prospective purchasers of the apartments and parking space with copies of the Offering Plan and all filed amendments.

(n) Anything contained in this Lease and the House Rules annexed hereto to the contrary notwithstanding, Lessor shall not prevent nor unreasonably impede or interfere with the sale of any block of Unsold Shares or the subletting of an apartment to which a block of Unsold Shares is allocated and agrees that a holder of Unsold Shares shall have the right to display "For Sale" and "For Rent" signs and similar promotional signs and material on or about the exterior of the building, the lobby and apartments leased by a holder of Unsold Shares. In addition, prospective purchasers of Unsold Shares and sales personnel shall be given access to the public areas of the Property, including (without limitation) the parking areas (if any), lobbies, elevators and hallways, for purposes of ingress and egress, without being subject to any charge or fee therefor. No discriminatory charge or fee may be imposed on any lessee who is a holder of Unsold Shares.

(o) If any provision of the Offering Plan grants any additional rights or privileges to holders of Unsold Shares, those provisions shall be deemed to be incorporated in this lease and the holders of Unsold Shares shall be entitled to those respective rights and privileges as if those provisions were expressly set forth in this lease.

(p) If there are any inconsistencies between this lease and the Offering Plan with respect to the rights, privileges or obligations of holders of Unsold Shares, the provisions of the Offering Plan shall control.

(q) The holder of Unsold Shares allocated to Apartment(s) occupied by a non-purchasing tenant and which is subject to a rent exemption order under Section Y51-5.0(n) of the New York City Administrative Code or any similar provisions of law may reduce the amount of monthly maintenance charges payable for such Apartment(s) to the extent of any tax abatement received by the Apartment Corporation as a result of such application and such reduction shall continue for as long as such tax abatement shall continue. The Apartment Corporation must apply for a tax abatement pursuant to Section Y51.5.1(c) of the New York City Administrative Code or any similar provisions of the law. Further, the Apartment Corporation shall apply for, or cooperate in, the application for any

rent increases and pass-alongs which may be applicable to any such apartments. In the event the Apartment Corporation fails to execute any and all documents or perform any actions which benefit the holders of Unsold Shares, the Apartment Corporation shall indemnify and hold harmless the holders of Unsold Shares for any damages, including, but not limited to, loss of income and profits and attorneys' fees.

(r) Anything contained in this Proprietary Lease to the contrary notwithstanding, without the Lessee's consent, no change in the form, terms or conditions of the lease or the By-Laws shall (1) affect the rights of the Lessee who is the holder of Unsold Shares to sublet the Demised Premises or to assign this lease; or (2) eliminate or modify any other rights, obligations or privileges of such Lessee.

FORECLOSURE-RECEIVER OF RENTS

39. Notwithstanding anything contained in this lease, if any action shall be instituted to foreclose any mortgage on the land or the building or the leasehold of the land or building, the Lessee shall, on demand, pay to the receiver of the rents appointed in such action rent, if any, owing hereunder on the date of such appointment and shall pay thereafter to such receiver in advance, on the first day of each month during the pendency of such action, as rent hereunder, the rent for the Demised Premises as last determined and established by the Directors prior to the commencement of said action, and such rent shall be paid during the period of such receivership, whether or not the Directors shall have determined and established the rent payable hereunder for any part of the period during which such receivership may continue. The provisions of this Paragraph are intended for the benefit of present and future mortgagees of the land or the building or the leasehold of the land or building and may not be modified or annulled without the prior written consent of any such mortgage holder.

TO WHOM COVENANTS APPLY

40. The references herein to the Lessor shall be deemed to include its successors and assigns, and the references herein to the Lessee or to a shareholder of the Lessor shall be deemed to include the executors, administrators, legal representatives, legatees, distributees and assigns of the Lessee or of such shareholder; and the covenants herein contained shall apply to, bind and enure to the benefit of the Lessor and its successors and assigns, and the Lessee and the executors and administrators, legal representatives, legatees, distributees and assigns of the Lessee, except as hereinabove stated.

WAIVER OF TRIAL BY JURY

41. To the extent permitted by law, the respective parties hereto shall and they hereby do waive trial by jury in any action, proceeding or counterclaim brought by either of the parties hereto against the other on any matters whatsoever arising out of or in any way connected with this lease, the Lessee's use or occupancy of the apartment or any claim of damages resulting from any action or omission of the parties in any way connected with this lease or the apartment.

LESSOR'S ADDITIONAL REMEDIES

42. In the event of a breach or threatened breach by Lessee of any provision hereof, the Lessor shall have the right of injunction and the right to invoke any remedy at law or in equity, as if re-entry, summary proceedings and other remedies were not herein provided for, and the election of one or more remedies shall not preclude the Lessor from any other remedy.

LESSEE MORE THAN ONE PERSON

43. If more than one person is named as Lessee hereunder, the Lessor may require the signatures of all such persons in connection with any notice to be given or action to be taken by the Lessee hereunder, including, without limiting the generality of the foregoing, the surrender or assignment of this lease, or any request for consent to assignment or subletting. Each person named as Lessee shall be jointly and severally liable for all of the Lessee's obligations hereunder. Any notice by the Lessor to any person named as Lessee shall be sufficient, and shall have the same force and effect, as though given to all persons named as Lessee.

EFFECT OR PARTIAL INVALIDITY

44. If any clause or provision herein contained shall be adjudged invalid, the same shall not affect the validity of any other clause or provision of this lease, or constitute any cause of action in favor of either party as against the other.

PROFESSIONAL APARTMENTS

45. (a) In the event shares of the Lessor allocated to a Professional Apartment(s) (the "Professional Apartment(s)") in the Building are issued, then the provisions of this Paragraph 45 shall apply only to the Lessee of such Professional Apartment.

(b) The Lessee of such Professional Apartment(s) will be entitled to occupy such Apartment(s) for professional purposes and/or as a residence. If an amendment to the Certificate of Occupancy is required to convert such Apartment(s) to residential use, the Lessee, at his own expense, shall perform such alterations as are required and apply for and receive such amendment. The Lessor shall not unreasonably withhold consent to any physical alteration necessary to obtain such amendment and the Lessor shall execute any documents reasonably required in connection with the application for such amendment.

(c) The subletting of the Professional Apartment(s) and/or the sale, transfer or assignment of this Lease and its shares, shall require the consents of the Directors, Managing Agent or shareholders. Any such subletting or transfer shall be in compliance with the requirements of Paragraphs 15 and 16 as well as applicable government regulations.

(d) With respect to any alterations or removal of fixtures to or from the Professional Apartment(s) by the Lessee, the consent of the Lessor shall be required, which consent shall not be unreasonably withheld or delayed. However, any such changes made by Lessee shall comply with the Plan, law, and any applicable rules and regulations of any governmental agencies having jurisdiction thereof, and shall not permanently encroach on any pre-existing public or common area of the Lessor.

(e) The provisions of Paragraph 20 shall apply to the Lessee of the Professional Apartment(s).

(f) Without the consent of the Lessee, no change in the form, terms or conditions of this Lease, as permitted by Paragraph 6, shall (1) affect the rights of the Lessee who is the holder of the shares allocated to the Professional Apartment(s) accompanying this Lease to sublet the Professional Apartment(s) or to assign this Lease, as provided for in this Paragraph 45, or (2) eliminate or modify any rights, privileges or obligations of such Lessee.

(g) The provisions of Paragraph 35 are not applicable to a Lessee who is the holder of the block of shares allocated to the Professional Apartment(s) accompanying this Lease.

ACTIONS

46. The Lessee may not institute an action or proceeding against the Lessor or defend, or make a counterclaim in any action by the Lessor related to the Lessee's failure to pay rent, if such action, defense or counterclaim is based upon the Lessor's failure to comply with its obligations under this Lease or any law, ordinance or governmental regulation unless such failure shall have continued for

thirty days after the giving of written notice thereof by the Lessee to the Lessor.

UNITY OF SHARES AND LEASE

47. The shares of the Lessor held by the Lessee and allocated to the Apartment have been acquired and are owned subject to the following conditions agreed upon with the Lessor and with each of the other proprietary Lessees for their mutual benefit:

(a) the shares represented by each certificate are transferable only as an entirety and only in connection with a simultaneous transfer of this Lease, unless transferred pursuant to the By-Laws of the Lessor in connection with re-grouping of space in one or more Apartments.

(b) the shares shall not be sold except to the Lessor or to an assignee of this Lease after compliance with all of the provisions of Paragraph 16 of this Lease relating to assignments.

CHARGES FOR GAS AND ELECTRICITY

48. If at any time or times during the term of this Lease, the consumption of gas or electricity, or both, in the Apartment is measured by a meter which also measures consumption outside the Apartment, the Lessor may determine from time to time by resolution of the Board of Directors thereof, the charges, if any, to be paid by the Lessee on account of such consumption of gas or electricity, or both, and any such payments or installments as shall be required by the Directors, and at such times as shall be provided in such resolution.

NO DISCRIMINATION

49. The Lessor will not discriminate against any person because of his race, creed, religion, color, national origin or ancestry when exercising any right reserved to it in this Lease.

MARGINAL HEADLINES

50. The marginal headings of the several paragraphs of this Lease shall not be deemed a part of this Lease.

CHANGES TO BE IN WRITING

51. The provisions of this Lease cannot be changed orally.

(39)

IN WITNESS WHEREOF, the parties have executed this lease.

CRESTWOOD APARTMENT OWNERS CORP.

By: _____

Lessee (L.S.)

Lessee (L.S.)

WITNESSED:

STATE OF NEW YORK)
 : ss.:
COUNTY OF)

On the _____ day of _____, 198 , before me personally appeared _____, to me known who being by me duly sworn, did depose and say that he resides at _____; that he is the _____ of Crestwood Apartment Owners Corp., the corporation described in and which executed the foregoing instruments; that he knows the seal of said corporation; that the seal affidavit to said instrument is such corporate seal; that it was so affixed by order of the Board of Directors of said corporation, and that he signed his name thereto by like order.

STATE OF NEW YORK)
 : ss.:
COUNTY OF)

On the _____ day of _____, in the 19____, before me personally appeared _____, to me personally known and known to me to be the individual described in and who executed the foregoing instrument, and duly acknowledged to me that _____ executed the same.

STATE OF NEW YORK)
 : ss.:
COUNTY OF)

On the _____ day of _____, in the year 198 , before me personally appeared _____, the subscribing witness to the foregoing instrument, with whom I am personally acquainted, who being duly sworn, did depose and say that he resides at _____, that he knows _____, the individual described in and who executed the foregoing instruments, that he, said subscribing witness, was present and saw _____ executed the same; and that he, said witness, thereupon at the same time subscribed name as witness thereto.
